

Growth Revs Up as Concentration Concerns Cool

Total rev growth accelerated to 29% y/y, driven by broad-based core growth and elevated AI-native usage. Initial CY26 guidance was better than feared, at 18-20% growth vs ~18% bogey, and OpenAI concentration worries eased as mgmt projected rev excl OpenAI to grow >20% and noted an 8-figure land with another leading AI model provider. Fundamentals continue to strengthen, with room for a beat-and-raise cadence given the low bar. Maintain Buy.

What we liked: **1) CY26 top-line guide.** CY26 rev guide was set at \$4.06-4.10B or 18-20% y/y growth, slightly ahead of buy-side expectations at ~18%. Notably, the guide embeds assumptions of >20% rev growth from the business excluding OpenAI, which implies <20% growth from OpenAI in CY26. We acknowledge that the guidance philosophy tends to be more conservative (and likely embeds additional conservatism as it relates to OpenAI spending trends), though the gap between 25-26% growth guided in 1Q26 and 18-20% growth in CY26 implies a sizable decel in the blended 2Q-4Q26 growth rate. **2) Core (non AI-native) customer growth.** Core rev growth accelerated to 23% y/y growth vs 20%/18% growth in Q3/Q2. The strength was broad-based across customer size, spending bands and industries. Mgmt noted that these strong demand trends continued throughout January. **3) Q4 results.** Total rev growth accelerated to 29% y/y, delivering a \$39M beat over the midpoint of guidance. Non-GAAP op margin was 24%, in line with the Street. FCF margin came in at 31% vs St at 28%. **4) Positive leading indicators.** RPO grew 52% y/y (vs 53% in Q3) and 24% q/q, aligning with typical backlog seasonality. cRPO decelerated to 40% y/y (vs low 50% in 3Q) driven by longer RPO duration as the mix of multi-year deals accelerated in Q4. **5) Customer expansions.** Record number of >\$100K adds at 250 in Q4 after setting a record last Q at 210 and vs normal range 80-160 in prior quarters.

What we're watching: **1) Diversification within the AI-native cohort.** DDOG indicated that it signed an 8-figure land with a leading AI model company and is in discussions to add another. The company now has 650 AI-native customers, 19 of which are spending >\$1M+ annually and 14 of which are in the top 20 highly valued AI-native companies. Not only does this help incrementally diversify customer concentration risk away from the OpenAI contract, but it also supports the view that DDOG is not losing share to lower-cost vendors or open-source solutions. **2) CY26 OPM guidedown.** CY26 op income guide implies 21% op margin, a downtick vs 22% margin delivered in CY25 and well below the 25% mark achieved in CY24. Mgmt indicated that the company is now in programmatic investment mode vs catch-up mode and does expect upside to margins from top-line outperformance.

Valuation. Stock trades at 9x CY27 rev after a 14% move from Q4 earnings. We think the stock can grind higher if it continues to deliver growth acceleration across both core and ex-OpenAI AI-native cohorts.

FY (Dec)	2024A	2025A	2026E	2027E
Cons. Rev.	2,684.3	3,392.7	4,110.0	4,944.4
Rev. (MM)	2,684.3	3,427.1	4,099.7	4,928.5
Cons. EPS	1.83	2.02	2.31	2.85
EPS	1.83	2.06	2.11	2.77

ESTIMATE CHANGE	
RATING	BUY
PRICE	\$114.01 ^A
PRICE TARGET % TO PT	\$160.00 +40%
52W HIGH-LOW	\$201.69 - \$81.63
FLOAT (%) ADV MM (USD)	87.1% 638.86
MARKET CAP	\$41.7B
TICKER	DDOG
^A Prior trading day's closing price unless otherwise noted.	

FY (Dec)	CHANGE TO JEF		JEF vs CONS	
	2026	2027	2026	2027
REV	<1%	NM	NM	NM
EPS	-4%	-1%	-9%	-3%

2026 (\$)	Q1	Q2	Q3	Q4	FY
EPS	↓0.49	↓0.49	↓0.55	↓0.58	↓2.11
PREV	0.51	0.50	0.57	0.62	2.20

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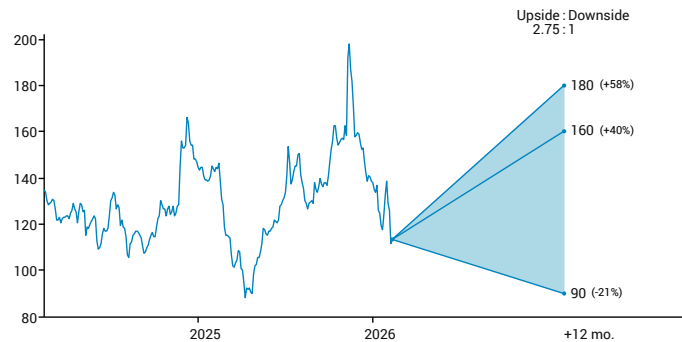
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The Long View: Datadog

Investment Thesis / Where We Differ

We believe Datadog can sustain robust 20%+ growth rates in the years ahead as the company gains market share in core infrastructure monitoring. Product strategy makes sense to us; we expect incremental traction from APM, log management, and potentially user monitoring over time as the cross-sell motion develops within the installed base (particularly among large enterprise customers). The company has proven to be a highly capital-efficient grower, and we see a path to continued profitability in the coming years.

Risk/Reward - 12 Month View



Base Case,
\$160, +40%

- Assumes CY26E/CY27E total rev growth of 20%/20%
- Assumes CY26E/CY27E gross margin of 82%/82%
- Assumes CY26E/CY27E FCF margin of 27%/28%
- PT of \$160 implies 11x our CY27E total rev

Upside Scenario,
\$180, +58%

- Assumes CY26E/CY27E total rev growth of >20%/>20%
- Assumes CY26E/CY27E gross margin of >82%/>82%
- Assumes CY26E/CY27E FCF margin of >27%/>28%
- PT of \$180 implies 13x our CY27E total rev

Downside Scenario,
\$90, -21%

- Assumes CY26E/CY27E total rev growth of <20%/<20%
- Assumes CY26E/CY27E gross margin of <82%/<82%
- Assumes CY26E/CY27E FCF margin of <27%/<28%
- PT of \$90 implies 6x our CY27E total rev

Sustainability Matters

Top Material Issue(s): 1) Data Security: As a data company, Datadog understands the importance of data privacy and security as well as responsibly investing in the governance and technology required to protect data in an increasingly complex, global environment. Privacy and security by design are top of mind throughout its development process. **2) Employee Engagement, Diversity & Inclusion:** Fostering a safe, diverse and inclusive workforce is an indispensable component of making room for everyone to thrive in the digital age.

Company Target(s): 1) No known targets related to sustainable financing or emissions reduction.

Qs to Mgmt: 1) What are you investing in to protect your firm and your customers' data while pursuing AI initiatives? **2)** What cost savings do you expect with a more diverse workforce? **3)** What steps are you taking to maintain a culture of growth, innovation, and inclusion while balancing talent attraction, retention, and career development?

ESG Sector Deep Dive

Catalysts

- 1Q26 results to be announced in early-May

Exhibit 1 - DDOG: Jefferies vs Street Ests

4Q25A	Actuals	Consensus	Δ vs Consensus	Guidance
Total Revenue	953.2	917.6	35.6	912-916
YoY	29%	24%	5%	24%
Non-GAAP Gross Margin	81.4%	81.1%	0.4%	
Non-GAAP Operating Income	230.1	220.6	9.5	216-220
Non-GAAP Operating Margin	24.1%	24.0%	0.1%	24%
Non-GAAP EPS	0.59	0.55	0.04	0.54-0.56
Cash Flow from Ops.	327.1	294.8	32.3	
Free Cash Flow	291.0	257.5	33.5	

1Q26E	Jefferies	Consensus	Δ vs Consensus	Guidance
Total Revenue	960.7	935.6	25.1	951-961
YoY	26%	23%	3%	25-26%
Non-GAAP Gross Margin	81.0%	80.7%	0.3%	
Non-GAAP Operating Income	204.6	208.9	(4.3)	195-205
Non-GAAP Operating Margin	21.3%	22.3%	-1.0%	21%
Non-GAAP EPS	0.49	0.52	(0.04)	0.49-0.51
Cash Flow from Ops.	334.9	302.9	32.0	
Free Cash Flow	289.8	276.1	13.7	

FY25A	Actuals	Consensus	Δ vs Consensus	Guidance
Total Revenue	3,427.1	3,392.7	34.4	3,386-3,390
YoY	28%	26%	1%	26%
Non-GAAP Gross Margin	81.0%	80.8%	0.2%	
Non-GAAP Operating Income	768.0	758.5	9.6	754-758
Non-GAAP Operating Margin	22.4%	22.4%	0.1%	22%
Non-GAAP EPS	2.06	2.02	0.04	2.00-2.02
Cash Flow from Ops.	1,050.1	1,005.5	44.6	
Unlevered Free Cash Flow	914.7	891.1	23.6	

FY26E	Jefferies	Consensus	Δ vs Consensus	Guidance
Total Revenue	4,099.7	4,110.0	(10.3)	4,060-4,100
YoY	20%	21%	-2%	18-20%
Non-GAAP Gross Margin	81.6%	80.6%	1.0%	
Non-GAAP Operating Income	878.8	953.1	(74.3)	840-880
Non-GAAP Operating Margin	21.4%	23.2%	-1.8%	21%
Non-GAAP EPS	2.11	2.31	(0.20)	2.08-2.16
Cash Flow from Ops.	1,284.8	1,239.6	45.3	
Unlevered Free Cash Flow	1,095.3	1,110.3	(15.0)	

Source: Jefferies, Company Data, FactSet

Chart 1 - DDOG: Non-GAAP Income Statement

Non-GAAP Income Statement		FY24					FY25					FY26E					FY27E				
		1Q25	2Q25	3Q25	4Q25		1Q26E	2Q26E	3Q26E	4Q26E		1Q27E	2Q27E	3Q27E	4Q27E		1Q27E	2Q27E	3Q27E	4Q27E	
USD in Millions, except per share amounts		3/31/2025	6/30/2025	9/30/2025	12/31/2025		3/31/2026	6/30/2026	9/30/2026	12/31/2026		3/31/2027	6/30/2027	9/30/2027	12/31/2027		3/31/2027	6/30/2027	9/30/2027	12/31/2027	
		90	91	92	92	365	90	91	92	92	365	90	91	92	92	365	90	91	92	92	365
Revenue	2684.3	761.6	826.8	885.7	953.2	3427.1	960.7	1,000.8	1,043.4	1,094.9	4099.7	1,130.7	1,197.9	1,269.1	1,330.8	4928.5					
YoY	26%	25%	28%	28%	29%	28%	26%	21%	18%	15%	20%	18%	20%	22%	22%	20%					
QoQ		3%	9%	7%	8%		1%	4%	4%	5%		3%	6%	6%	5%						
Cost of Sales	483.2	149.9	157.5	166.8	176.9	651.1	182.5	185.1	187.8	197.1	752.6	203.5	215.6	228.4	239.5	887.1					
YoY	26%	46%	36%	28%	31%	35%	22%	18%	13%	11%	16%	12%	16%	22%	22%	18%					
QoQ		11%	5%	6%	6%		3%	1%	1%	5%		3%	6%	6%	5%						
Gross Profit	2,201.1	611.7	669.2	718.9	776.3	2,776.1	778.1	815.6	855.6	897.8	3,347.1	927.1	982.3	1,040.7	1,091.2	4,041.4					
YoY	26%	20%	26%	28%	29%	26%	27%	22%	19%	16%	21%	19%	20%	22%	22%	21%					
QoQ		1%	9%	7%	8%		0%	5%	5%	5%		3%	6%	6%	5%						
% Margin	82%	80%	81%	81%	81%	81%	81%	82%	82%	82%	82%	82%	82%	82%	82%	82%					
Operating Expenses																					
Research & Development	758.3	225.7	263.2	269.5	280.3	1,038.7	294.6	334.3	345.0	353.1	1,327.0	368.2	404.5	431.2	423.8	1,627.7					
YoY	21%	32%	46%	38%	32%	37%	31%	27%	28%	26%	28%	25%	21%	23%	20%	23%					
QoQ		7%	17%	2%	4%		5%	13%	3%	2%		4%	10%	7%	2%						
% Margin	28%	30%	32%	30%	29%	30%	31%	33%	33%	32%	32%	33%	34%	34%	32%	33%					
Sales & Marketing	629.0	178.4	200.0	195.5	219.1	793.1	225.7	230.0	224.8	252.0	932.6	255.0	259.9	254.1	284.8	1,053.8					
YoY	26%	25%	27%	26%	26%	26%	27%	15%	15%	15%	18%	13%	13%	13%	13%	13%					
QoQ		3%	12%	-2%	12%		3%	2%	-2%	12%		1%	2%	-2%	12%						
% Margin	23%	23%	24%	22%	23%	23%	23%	23%	22%	23%	23%	23%	22%	20%	21%	21%					
General & Administrative	139.6	41.0	41.9	46.5	46.8	176.2	53.3	48.2	53.4	53.8	208.8	58.7	53.0	58.8	59.2	229.6					
YoY	11%	34%	23%	29%	21%	26%	30%	15%	15%	15%	18%	10%	10%	10%	10%	10%					
QoQ		6%	2%	11%	1%		14%	-10%	11%	1%		9%	-10%	11%	1%						
% Margin	5%	5%	5%	5%	5%	5%	6%	5%	5%	5%	5%	5%	4%	5%	4%	5%					
Total Operating Expenses	1,526.8	445.2	505.1	511.5	546.2	2,008.0	573.6	612.5	623.2	659.0	2,468.3	681.9	717.4	744.1	767.8	2,911.1					
YoY	22%	29%	36%	32%	29%	32%	29%	21%	22%	21%	23%	19%	17%	19%	17%	18%					
QoQ		5%	13%	1%	7%		5%	7%	2%	6%		3%	5%	4%	3%						
Operating Income	674.2	166.5	164.1	207.4	230.1	768.0	204.6	203.1	232.3	238.8	878.8	245.2	264.9	296.6	323.5	1130.2					
YoY	38%	1%	4%	20%	28%	14%	23%	24%	12%	4%	14%	20%	30%	28%	35%	29%					
QoQ		(7%)	(1%)	26%	11%		(11%)	(1%)	14%	3%		3%	8%	12%	9%						
% Margin	25.1%	21.9%	19.8%	23.4%	24.1%	22.4%	21.3%	20.3%	22.3%	21.8%	21.4%	21.7%	22.1%	23.4%	24.3%	22.9%					
Other																					
Other Income (Expense)	149.7	44.2	41.6	41.5	44.1	171.4	26.1	32.1	34.1	46.2	138.5	44.9	54.4	62.7	72.9	234.9					
Pre-tax Income	823.9	210.7	205.7	248.8	274.2	939.4	230.6	235.3	266.4	285.0	1,017.3	290.1	319.3	359.3	396.4	1,365.1					
Provision for Income Taxes	(16.4)	(5.3)	(1.8)	(0.7)	(5.9)	(13.7)	(3.2)	(4.7)	(5.3)	(5.7)	(19.0)	(5.8)	(6.4)	(7.2)	(7.9)	(27.3)					
Effective Tax Rate	(2.0%)	(2.5%)	(0.9%)	(0.3%)	(2.1%)	(1.5%)	(1.4%)	(2.0%)	(2.0%)	(2.0%)	(1.9%)	(2.0%)	(2.0%)	(2.0%)	(2.0%)	(2.0%)					
Net income, Non-GAAP	807.4	205.4	204	248.1	268.3	925.8	227.4	230.6	261.1	279.3	998.4	284.3	312.9	352.1	388.4	1337.8					
YoY	40%	5%	8%	21%	24%	15%	11%	13%	5%	4%	8%	25%	36%	35%	39%	34%					
% Margin	30%	27%	25%	28%	28%	27%	24%	23%	25%	26%	24%	25%	26%	28%	29%	27%					
Tax Adjustment	153.6	37.5	40.1	50.7	50.9	179.2	48.43	49.41	55.95	59.85	213.6	60.93	67.05	75.45	83.23	286.7					
YoY	18.6%	18.2%	19.7%	20.4%	19.0%	19.1%	21.0%	21.0%	21.0%	21.0%	21.0%	21.0%	21.0%	21.0%	21.0%	21.0%					
Net income, Non-GAAP after Tax Adjustment	653.8	167.9	163.8	197.4	217.4	746.6	179.0	181.2	205.1	219.5	784.7	223.4	245.8	276.7	305.2	1051.1					
EPS, Non-GAAP	2.26	0.57	0.57	0.69	0.73	2.55	0.62	0.62	0.70	0.74	2.68	0.75	0.83	0.93	1.02	3.53					
YoY	37%	3%	7%	19%	22%	13%	10%	10%	2%	1%	5%	22%	33%	33%	38%	31%					
EPS, Non-GAAP after Tax Adjustment	1.83	0.46	0.46	0.55	0.59	2.06	0.49	0.49	0.55	0.58	2.11	0.59	0.65	0.73	0.80	2.77					
Sharecount																					
Basic Shares	336.2	343.1	346.2	348.6	350.9	347.2	352.4	355.4	358.9	361.9	357.1	362.9	363.9	364.9	365.9	364.4					
Diluted Shares	357.8	363.1	358.7	362.0	365.5	362.3	367.0	370.0	373.5	376.5	371.8	377.5	378.5	379.5	380.5	379.0					

Source: Jefferies, Company Data

Chart 2 - DDOG: DCF Base Case

Discounted Cash Flow Analysis

DDOG	Forecast	Transition	Terminal
Current Risk-free Rate of Return	3.50%	3.50%	3.50%
Historical Risk-free Rate of Return	5.00%	5.00%	5.00%
Beta	1.25		1.00
Market Rate of Return	11.50%	11.50%	
Cost of Equity	11.63%		10.00%
Growth Rate	As Modeled		5.00%
Last Quarter End	12/31/2025		
Total Cash and Equivalents	4,474.8		
Total Debt	983.4		
LTM Recurring Revenues	3,427.2		
NTM Recurring Revenues	4,089.7		
Shares outstanding (M)	365.5		

SCENARIO 2:

	2022A	2023A	2024A	FORECAST PERIOD						TRANSITIONARY PERIOD				TERMINAL	
				2025E	2026E	2027E	2028E	2029E	2030E	2031E	2032E	2033E	2034E	2035E	2036E Perpetuity
Current Risk-free Rate of Return				3.5%	3.5%	3.5%	3.5%	3.5%	3.5%	3.5%	3.5%	3.5%	3.5%	3.5%	3.5%
Historical Risk-free Rate of Return				5.0%	5.0%	5.0%	5.0%	5.0%	5.0%	5.0%	5.0%	5.0%	5.0%	5.0%	5.0%
Beta				1.25	1.25	1.25	1.25	1.22	1.19	1.16	1.13	1.09	1.06	1.03	1.00
Market Rate of Return				11.5%	11.5%	11.5%	11.5%	11.5%	11.5%	11.5%	11.5%	11.5%	11.5%	11.5%	11.5%
Cost of Equity				11.6%	11.6%	11.6%	11.6%	11.4%	11.2%	11.0%	10.8%	10.6%	10.4%	10.2%	10.0%
FCF Growth Rate				3.7%	37.5%	24.8%	36.5%	34.6%	31.8%	27.4%	22.8%	18.1%	13.5%	8.9%	4.3%
Diluted Shares at Year-end			357.8	362.3	371.8	379.0	390.4	400.1	408.1	415.0	420.5	424.7	427.5	428.9	428.9
Share Growth %				1.3%	2.6%	2.0%	3.0%	2.5%	2.0%	1.7%	1.3%	1.0%	0.7%	0.3%	0.0%
Free Cash Flow to Enterprise (\$M)	24.0	307.6	768.0	796.7	1,095.3	1,386.6	1,855.4	2,499.7	3,299.6	4,263.0	5,159.6	6,095.5	6,918.6	7,535.5	7,858.0
Free Cash Flow to Enterprise per Share				2.2	2.9	3.6	4.8	6.2	8.1	10.1	12.3	14.4	16.2	17.6	18.3
NPV of Free Cash Flow to Enterprise per Share				2.0	2.4	2.7	3.2	3.7	4.4	5.0	5.5	5.9	6.2	6.2	104.5
Cumulative NPV of Free Cash Flow to Enterprise per Share				2.0	4.5	7.1	10.3	14.0	18.4	23.4	28.9	34.9	41.1	47.2	151.7
Cumulative NPV of FCFE per Share															151.74
Subtract: Net Cash per share - 10% of Revenue															8.61
Total NPV per Share															\$160.36

Source: Jefferies

Company Description

Datadog

Datadog is a cloud-native infrastructure and application performance monitoring platform. The company combines a leading SaaS product with capital efficient growth. Datadog was founded in 2010 in New York City.

Company Valuation/Risks

Datadog

Our DCF-based price target of \$160 implies a multiple of 11x our CY27 total revenue estimate. Risks include competitive inroads as monitoring workloads consolidate; choppiness in enterprise sales execution, given that the motion is relatively young; early renewals for certain contracts driving estimate volatility; and multiple compression across high growth.

Analyst Certification:

I, Brent Thill, certify that all of the views expressed in this research report accurately reflect my personal views about the subject security(ies) and subject company(ies). I also certify that no part of my compensation was, is, or will be, directly or indirectly, related to the specific recommendations or views expressed in this research report.

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Investment Recommendation Record

(Article 3(1)e and Article 7 of MAR)

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Explanation of Jefferies Ratings

Buy - Describes securities that we expect to provide a total return (price appreciation plus yield) of 15% or more within a 12-month period.

Hold - Describes securities that we expect to provide a total return (price appreciation plus yield) of plus 15% or minus 10% within a 12-month period.

Underperform - Describes securities that we expect to provide a total return (price appreciation plus yield) of minus 10% or less within a 12-month period.

The expected total return (price appreciation plus yield) for Buy rated securities with an average security price consistently below \$10 is 20% or more within a 12-month period as these companies are typically more volatile than the overall stock market. For Hold rated securities with an average security price consistently below \$10, the expected total return (price appreciation plus yield) is plus or minus 20% within a 12-month period. For Underperform rated securities with an average security price consistently below \$10, the expected total return (price appreciation plus yield) is minus 20% or less within a 12-month period.

NR - The investment rating and price target have been temporarily suspended. Such suspensions are in compliance with applicable regulations and/or Jefferies policies.

CS - Coverage Suspended. Jefferies has suspended coverage of this company.

NC - Not covered. Jefferies does not cover this company.

Restricted - Describes issuers where, in conjunction with Jefferies engagement in certain transactions, company policy or applicable securities regulations prohibit certain types of communications, including investment recommendations.

Monitor - Describes securities whose company fundamentals and financials are being monitored, and for which no financial projections or opinions on the investment merits of the company are provided.

Valuation Methodology

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Jefferies Franchise Picks

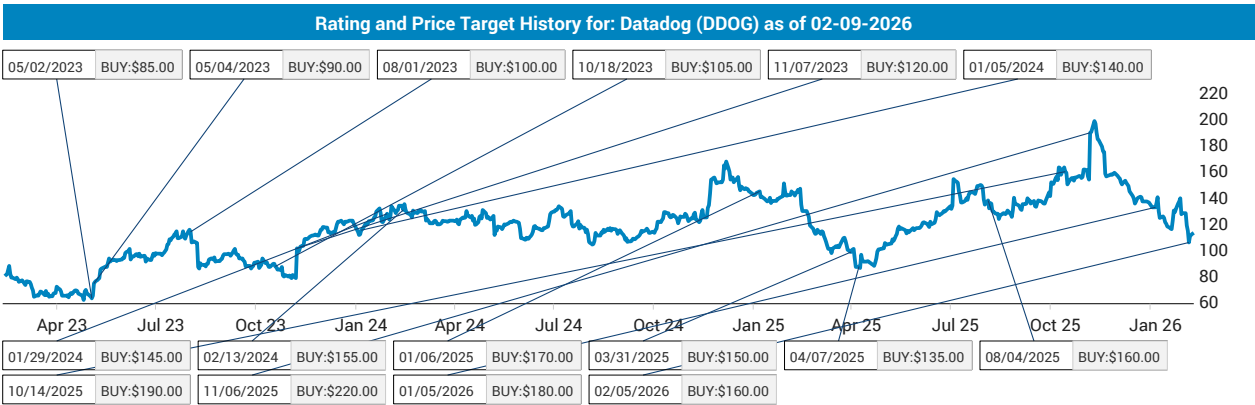
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Other Companies Mentioned in This Report

• Datadog (DDOG: \$114.01, BUY)



Notes: Each box in the Rating and Price Target History chart above represents actions over the past three years in which an analyst initiated on a company, made a change to a rating or price target of a company or discontinued coverage of a company.

Legend:

I: Initiating Coverage

D: Dropped Coverage

B: Buy

H: Hold

UP: Underperform

Distribution of Ratings

			IB Serv./Past12 Mos.		JIL Mkt Serv./Past12 Mos.	
	Count	Percent	Count	Percent	Count	Percent
BUY	2162	61.32%	366	16.93%	109	5.04%
HOLD	1199	34.00%	105	8.76%	15	1.25%
UNDERPERFORM	165	4.68%	2	1.21%	2	1.21%

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